

Ellan Vannin Wealth Management

Regional Investment Memorandum

The Stoke Productive Economy Pilot Fund

A Small-Scale Industrial Renaissance Experiment

Building a Low-Margin, High-Circulation Economy in Stoke-on-Trent

Executive Summary

Ellan Vannin Wealth Management (EVWM) proposes a targeted regional investment programme:

The Stoke Productive Economy Pilot Fund (SPEPF)

A practical economic development experiment designed to test a simple idea:

A local economy can become stronger not by maximising profit margins, but by maximising production, employment, skills and the circulation of money.

Rather than attempting to create a small number of high-profit businesses, the fund would support hundreds of small, productive enterprises operating in:

- ceramics
- pottery
- kilns
- construction materials
- repair industries
- music production
- manufacturing
- local supply chains

The objective is to create a **high-velocity local economy** where money stays within Stoke for longer.

1. Economic Theory

The Traditional Model

Many modern businesses aim for:

- high margins
- automation
- fewer workers
- asset appreciation

This can create wealth, but often concentrates economic activity.

The Stoke Model

The alternative:

Low Margin + High Activity

A business making a 5% margin can still create significant economic value if it:

- employs people
- buys locally
- produces frequently
- trains workers
- supports suppliers

The goal is:

More businesses, more workers, more transactions.

2. Investment Structure

Stoke Productive Economy Pilot Fund

Initial Capital:

£5 million

Five-year programme.

Funding:

Source	Amount
EVWM	£2 million
Local investors	£1 million
Industrial partners	£1 million
Public regeneration funding	£1 million

The fund would operate as a mixture of:

- small business investment
 - equipment finance
 - workspace investment
 - training support
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3. Investment Areas

Pillar One

Stoke Ceramic Revival

Investment:

£1.25 million

Objective:

Modernise Stoke's historic ceramics sector.

Not simply decorative pottery.

Focus:

- specialist ceramics
 - tiles
 - architectural ceramics
 - handmade products
 - restoration materials
 - small-scale manufacturing
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Projects:

Shared Kiln Network

Create:

- 3–5 shared production facilities
 - affordable kiln access
 - workshop space
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Benefit:

Small businesses avoid purchasing expensive equipment.

Expected:

50 new ceramic businesses supported.

Economic impact:

- £3–5 million annual sales created
 - 100+ jobs supported
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Pillar Two

Construction Materials Micro-Industry

Investment:

£1.5 million

Objective:

Create small manufacturers supplying:

- bricks
 - tiles
 - paving
 - restoration materials
 - sustainable building products
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Focus:

Local production for local construction.

Example:

A small tile manufacturer supplying:

- housing projects
 - restaurants
 - heritage buildings
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Expected:

20–30 businesses supported.

Economic impact:

- £5–10 million annual turnover
 - 150 jobs supported
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Pillar Three

Stoke Music & Creative Economy

Investment:

£750,000

Create:

Stoke Sound Network

Facilities:

- rehearsal rooms
 - affordable recording studios
 - music production spaces
 - live venues
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The objective:

Not creating one superstar.

Creating:

- engineers
 - producers
 - technicians
 - musicians
 - event workers
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Expected:

100 creative businesses supported.

Economic impact:

- £2–3 million annual local spending
 - 50–100 jobs supported
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Pillar Four

Industrial Workspace Fund

Investment:

£1 million

Acquire and refurbish:

- empty industrial units
 - old workshops
 - unused commercial buildings
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Create:

Stoke Makers Estate

Affordable units for:

- manufacturers
 - repair businesses
 - engineers
 - craftspeople
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Model:

Low rents.

High occupancy.

Long-term tenants.

Expected:

30–50 businesses housed.

Pillar Five

Local Construction & Skills Programme

Investment:

£500,000

Support:

- apprenticeships
 - trades training
 - manufacturing skills
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Areas:

- bricklaying
 - ceramics
 - engineering
 - fabrication
 - building restoration
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Target:

200 trainees over five years.

4. Economic Multiplier Effect

Example

EVWM invests:

£100,000 into a ceramic workshop.

The business:

Employs:

5 people

Annual activity:

Wages:

£150,000

Materials:

£100,000

Rent:

£25,000

Local spending:

£50,000

The original investment creates:

£325,000+ annual economic activity.

The objective is not huge individual profits.

It is repeated circulation.

5. Expected Five-Year Results

Investment

£5 million

Businesses Supported

Target:

200–300 small businesses

Employment

Direct:

500 jobs

Indirect:

500–750 jobs

Additional Economic Activity

Annual:

£30–50 million

6. Financial Return

This is a patient investment model.

Returns come from:

- equity stakes
 - commercial rents
 - equipment leasing
 - business growth
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Target:

5–8% annual return

Not every business succeeds.

The portfolio approach expects:

- some failures
 - many stable businesses
 - a few high-growth successes
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7. Why Stoke?

Stoke is suitable because:

Existing Industrial Culture

The city already understands:

- making things
 - manufacturing
 - engineering
 - production
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Lower Costs

Compared with:

- London
- Birmingham
- Manchester

property and labour costs allow experimentation.

National Importance

If successful, the model could be replicated in:

- Bradford
 - Walsall
 - Doncaster
 - Sunderland
 - Blackburn
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8. The Macroeconomic Experiment

The Stoke Pilot tests:

Can lower profit margins create stronger local economies?

The hypothesis:

A business economy based on:

- many small firms
- reasonable profits

- high employment
- local supply chains

may create more resilient communities than a small number of high-margin firms.

9. Long-Term Expansion

If the £5 million pilot succeeds:

Phase Two:

£25 million Stoke Productive Economy Fund

Expansion into:

- industrial property
 - manufacturing
 - logistics
 - energy
 - construction supply chains
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Final Recommendation

Ellan Vannin Wealth Management should establish:

The Stoke Productive Economy Pilot Fund

A realistic, measurable economic experiment.

The objective is not to "transform Stoke overnight".

It is to prove a different economic model:

A city does not become wealthy only by creating expensive things.
It becomes wealthy when thousands of people are continuously producing, trading and improving.

Stoke can become a laboratory for a new 2020s economic model:

Low margins.

High employment.

High circulation.

Productive abundance.